

STATE OF NEW YORK

3414--A

2025-2026 Regular Sessions

IN SENATE

January 27, 2025

Introduced by Sens. JACKSON, ADDABBO, HARCKHAM, CLEARE, FERNANDEZ, GOUNARDES, SCARCELLA-SPANTON, SKOUFIS -- read twice and ordered printed, and when printed to be committed to the Committee on Civil Service and Pensions -- recommitted to the Committee on Civil Service and Pensions in accordance with Senate Rule 6, sec. 8 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the retirement and social security law, the education law and the administrative code of the city of New York, in relation to providing cost-of-living adjustments

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

Section 1. Subdivision f of section 78-a of the retirement and social security law, as added by chapter 125 of the laws of 2000, is amended to read as follows:

f. Commencing September first, two thousand, all retired members who have retired prior to the calendar year nineteen hundred ninety-seven and who meet the eligibility criteria set forth in subdivision a of this section shall be paid an adjusted benefit in monthly installments on the basis provided for in this subdivision. Said adjusted benefit shall be equal to a percentage of the change in consumer price index (all urban consumers, CPI-U, U.S. city average, all items, 1982-84=100), published by the United States bureau of labor statistics, measured from the year of retirement through calendar year nineteen hundred ninety-seven according to the following schedule:

Year of retirement	Percentage
1968 through 1996	50%
1966 and 1967	55%
1965	60%
1964	65%

EXPLANATION--Matter in italics (underscored) is new; matter in brackets [-] is old law to be omitted.

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1	1963	70%
2	1962	80%
3	1961	90%
4	prior to 1961	100%

Said adjusted benefit shall be computed on a base benefit amount not to exceed eighteen thousand dollars of the retirement allowance otherwise payable, computed without optional modification. Any benefit received pursuant to this subdivision shall be in lieu of any benefit received pursuant to section seventy-eight of this title.

Commencing September first, two thousand twenty-six, all retired members who have retired prior to the calendar year nineteen hundred ninety-seven and who meet the eligibility criteria set forth in subdivision a of this section shall be paid an adjusted benefit in monthly installments on the basis provided for in this subdivision. Said adjusted benefit shall be equal to a percentage of the change in consumer price index (all urban consumers, CPI-U, U.S. city average, all items, 1982-84=100), published by the United States bureau of labor statistics, measured from the year of retirement through calendar year nineteen hundred ninety-seven according to the following schedule:

20	<u>Year of retirement</u>	<u>Percentage</u>
21	<u>1973 through 1996</u>	<u>50%</u>
22	<u>1971 and 1972</u>	<u>55%</u>
23	<u>1970</u>	<u>60%</u>
24	<u>1969</u>	<u>65%</u>
25	<u>1968</u>	<u>70%</u>
26	<u>1967</u>	<u>80%</u>
27	<u>1966</u>	<u>90%</u>
28	<u>prior to 1966</u>	<u>100%</u>

Said adjusted benefit commencing September first, two thousand twenty-six, shall be computed on the base benefit amount of the retirement allowance otherwise payable, computed without optional modification, set forth herein above. Any benefit received pursuant to this subdivision shall be in lieu of any benefit received pursuant to section seventy-eight of this title.

§ 2. Subdivision f of section 378-a of the retirement and social security law, as added by chapter 125 of the laws of 2000, is amended to read as follows:

f. Commencing September first, two thousand, all retired members who have retired prior to the calendar year nineteen hundred ninety-seven and who meet the eligibility criteria set forth in subdivision a of this section shall be paid an adjusted benefit in monthly installments on the basis provided for in this subdivision. Said adjusted benefit shall be equal to a percentage of the change in consumer price index (all urban consumers, CPI-U, U.S. city average, all items, 1982-84=100), published by the United States bureau of labor statistics, measured from the year of retirement through calendar year nineteen hundred ninety-seven according to the following schedule:

48	Year of retirement	Percentage
49	1968 through 1996	50%
50	1966 and 1967	55%
51	1965	60%
52	1964	65%
53	1963	70%
54	1962	80%

1 1961 90%
 2 prior to 1961 100%
 3 Said adjusted benefit shall be computed on a base benefit amount not to
 4 exceed eighteen thousand dollars of the retirement allowance otherwise
 5 payable, computed without optional modification. Any benefit received
 6 pursuant to this subdivision shall be in lieu of any benefit received
 7 pursuant to section three hundred seventy-eight of this title.

8 Commencing September first, two thousand twenty-six, all retired
 9 members who have retired prior to the calendar year nineteen hundred
 10 ninety-seven and who meet the eligibility criteria set forth in subdivi-
 11 sion a of this section shall be paid an adjusted benefit in monthly
 12 installments on the basis provided for in this subdivision. Said
 13 adjusted benefit shall be equal to a percentage of the change in consum-
 14 er price index (all urban consumers, CPI-U, U.S. city average, all
 15 items, 1982-84=100), published by the United States bureau of labor
 16 statistics, measured from the year of retirement through calendar year
 17 nineteen hundred ninety-seven according to the following schedule:

<u>Year of retirement</u>	<u>Percentage</u>
<u>1973 through 1996</u>	<u>50%</u>
<u>1971 and 1972</u>	<u>55%</u>
<u>1970</u>	<u>60%</u>
<u>1969</u>	<u>65%</u>
<u>1968</u>	<u>70%</u>
<u>1967</u>	<u>80%</u>
<u>1966</u>	<u>90%</u>
<u>prior to 1966</u>	<u>100%</u>

27 Said adjusted benefit commencing September first, two thousand twenty-
 28 six, shall be computed on the base benefit amount of the retirement
 29 allowance otherwise payable, computed without optional modification, set
 30 forth herein above. Any benefit received pursuant to this subdivision
 31 shall be in lieu of any benefit received pursuant to section three
 32 hundred seventy-eight of this title.

33 § 3. Subdivision f of section 532-a of the education law, as added by
 34 chapter 125 of the laws of 2000, is amended to read as follows:

35 f. Commencing September first, two thousand, all retired members who
 36 have retired prior to the calendar year nineteen hundred ninety-seven
 37 and who meet the eligibility criteria set forth in subdivision a of this
 38 section shall be paid an adjusted benefit in monthly installments on the
 39 basis provided for in this subdivision. Said adjusted benefit shall be
 40 equal to a percentage of the change in consumer price index (all urban
 41 consumers, CPI-U, U.S. city average, all items, 1982-84=100), published
 42 by the United States bureau of labor statistics, measured from the year
 43 of retirement through calendar year nineteen hundred ninety-seven
 44 according to the following schedule:

<u>Year of retirement</u>	<u>Percentage</u>
<u>1968 through 1996</u>	<u>50%</u>
<u>1966 and 1967</u>	<u>55%</u>
<u>1965</u>	<u>60%</u>
<u>1964</u>	<u>65%</u>
<u>1963</u>	<u>70%</u>
<u>1962</u>	<u>80%</u>
<u>1961</u>	<u>90%</u>
<u>prior to 1961</u>	<u>100%</u>

54 Said adjusted benefit shall be computed on a base benefit amount not to
 55 exceed eighteen thousand dollars of the retirement allowance otherwise

payable, computed without optional modification excluding any annuity derived from voluntary contributions made by members, except those made pursuant to elections under subdivision one of section five hundred eleven-a or paragraph c of subdivision three of section five hundred sixteen of this article. Any benefits received pursuant to this subdivision shall be in lieu of any benefits received pursuant to section five hundred thirty-two of this article, unless such benefits are in excess of those provided by this section, in which case such benefits shall be paid by the retirement system pursuant to such provision.

Commencing September first, two thousand twenty-six, all retired members who have retired prior to the calendar year nineteen hundred ninety-seven and who meet the eligibility criteria set forth in subdivision a of this section shall be paid an adjusted benefit in monthly installments on the basis provided for in this subdivision. Said adjusted benefit shall be equal to a percentage of the change in consumer price index (all urban consumers, CPI-U, U.S. city average, all items, 1982-84=100), published by the United States bureau of labor statistics, measured from the year of retirement through calendar year nineteen hundred ninety-seven according to the following schedule:

<u>Year of retirement</u>	<u>Percentage</u>
<u>1973 through 1996</u>	<u>50%</u>
<u>1971 and 1972</u>	<u>55%</u>
<u>1970</u>	<u>60%</u>
<u>1969</u>	<u>65%</u>
<u>1968</u>	<u>70%</u>
<u>1967</u>	<u>80%</u>
<u>1966</u>	<u>90%</u>
<u>prior to 1966</u>	<u>100%</u>

Said adjusted benefit, commencing September first, two thousand twenty-six, shall be computed on a base benefit amount not to exceed eighteen thousand dollars of the retirement allowance otherwise payable, computed without optional modification, set forth herein above. Any benefit received pursuant to this subdivision shall be in lieu of any benefit received pursuant to section five hundred thirty-two of this article, unless such benefits are in excess of those provided by this section, in which case such benefits shall be paid by the retirement system pursuant to such provision.

§ 4. Subdivision f of section 13-696 of the administrative code of the city of New York, as added by chapter 125 of the laws of 2000, is amended to read as follows:

f. Commencing September first, two thousand, all retired members who have retired prior to the calendar year nineteen hundred ninety-seven and who meet the eligibility criteria set forth in subdivision a of this section shall be paid an adjusted benefit in monthly installments on the basis provided for in this subdivision. Said adjusted benefit shall be equal to a percentage of the change in consumer price index (all urban consumers, CPI-U, U.S. city average, all items, 1982-84=100), published by the United States bureau of labor statistics, measured from the year of retirement through calendar year nineteen hundred ninety-seven according to the following schedule:

<u>Year of retirement</u>	<u>Percentage</u>
<u>1968 through 1996</u>	<u>50%</u>
<u>1966 and 1967</u>	<u>55%</u>
<u>1965</u>	<u>60%</u>
<u>1964</u>	<u>65%</u>

1	1963	70%
2	1962	80%
3	1961	90%
4	prior to 1961	100%

5 Said adjusted benefit shall be computed on a base benefit amount not to
6 exceed eighteen thousand dollars of the annual fixed retirement allow-
7 ance otherwise payable, computed without optional modification. Any
8 benefit received pursuant to this subdivision shall be in lieu of any
9 benefit received pursuant to chapter three hundred ninety of the laws of
10 nineteen hundred ninety-eight, and any preceding provision of law
11 providing for supplementation.

12 Commencing September first, two thousand twenty-six, all retired
13 members who have retired prior to the calendar year nineteen hundred
14 ninety-seven and who meet the eligibility criteria set forth in subdivi-
15 sion a of this section shall be paid an adjusted benefit in monthly
16 installments on the basis provided for in this subdivision. Said
17 adjusted benefit shall be equal to a percentage of the change in consum-
18 er price index (all urban consumers, CPI-U, U.S. city average, all
19 items, 1982-84=100), published by the United States bureau of labor
20 statistics, measured from the year of retirement through calendar year
21 nineteen hundred ninety-seven according to the following schedule:

22	<u>Year of retirement</u>	<u>Percentage</u>
23	<u>1973 through 1996</u>	<u>50%</u>
24	<u>1971 and 1972</u>	<u>55%</u>
25	<u>1970</u>	<u>60%</u>
26	<u>1969</u>	<u>65%</u>
27	<u>1968</u>	<u>70%</u>
28	<u>1967</u>	<u>80%</u>
29	<u>1966</u>	<u>90%</u>
30	<u>prior to 1966</u>	<u>100%</u>

31 Said adjusted benefit, commencing September first, two thousand twenty-
32 six, shall be computed on the base benefit amount of the retirement
33 allowance otherwise payable, computed without optional modification, set
34 forth herein above. Any benefit received pursuant to this subdivision
35 shall be in lieu of any benefit received pursuant to section 13-695 of
36 this article.

37 § 5. This act shall take effect immediately.

FISCAL NOTE.--Pursuant to Legislative Law, Section 50:

This bill would increase the cost-of-living adjustment (COLA) for New York public retirement systems. Starting with September 2026, additional payments would be made for retirements after 1960 and prior to 1973.

Insofar as this bill affects the New York State and Local Employees' Retirement System (NYSLERS), this bill would increase the present value of benefits by approximately \$190,000.

To fund these costs, the state of New York will be required to pay \$211,000 (including interest) as of March 1, 2027.

Insofar as this bill affects the New York State and Local Police and Fire Retirement System (NYSLPFRS), the present value of benefits would increase approximately \$110,000.

NYSLPFRS	Increase in present value of benefits	Increase in required contributions
Pensioners	\$ 113,000	\$ 0
Actives Tiers 1-5 (Closed)	\$ 0	\$ 38,400
Actives Tier 6 (Open)	\$ 0	\$ 74,600
Total	\$ 113,000	\$ 113,000

Benefit improvements will be funded by increasing the billing rates charged annually. The annual contribution required of all participating employers in NYSLPFRS would be approximately \$1,800 to the state of New York and \$7,600 to the local participating employers.

This permanent annual cost will vary in future billing cycles with changes in the billing rate and salary of the affected members.

These estimated costs are based on 26 affected retirees and beneficiaries in NYSLERS and 20 in NYSLPFRS as of March 31, 2025.

Summary of relevant resources:

Membership data as of March 31, 2025 was used to measure the impact of the bill, the same data used in the Actuarial Valuations dated April 1, 2025. Distributions and other statistics can be found in the 2025 Report of the Actuary and the 2025 Annual Comprehensive Financial Report. The actuarial assumptions and methods used are described in the 2025 Annual Report to the Comptroller on Actuarial Assumptions, and the Codes, Rules and Regulations of the State of New York: Audit and Control. The fair value of assets and GASB disclosures can be found in the 2025 Financial Statements and Supplementary Information.

Assumptions, demographics, and other considerations may have been modified to better reflect specific provisions of any proposed benefit change(s).

This fiscal note does not constitute a legal opinion on the viability of the bill, nor is it intended to serve as a substitute for the professional judgment of an attorney.

This estimate, dated January 5, 2026, and intended for use only during the 2026 Legislative Session, is Fiscal Note Number 2026-13. As Chief Actuary of the New York State and Local Retirement System (NYSLRS), I, Aaron Schottin Young, hereby certify that this analysis complies with applicable Actuarial Standards of Practice as well as the Code of Professional Conduct and Qualification Standards for Actuaries Issuing Statements of Actuarial Opinion of the American Academy of Actuaries, of which I am a member. I am a member of NYSLRS but do not believe it impairs my objectivity.

FISCAL NOTE.--Pursuant to Legislative Law, Section 50:

Bill Description:

This fiscal note is prepared for legislative bill draft #06255-05-6. This bill would amend subdivision f of section 532-a of the Education Law to provide an increase in supplementation for retired members and beneficiaries who meet the eligibility requirements set forth in subdivision a of Section 532-a and who retired during the calendar years 1961 through 1972, inclusive. Benefit increases are based on the first \$18,000 of the maximum annual benefit without optional modification and would be effective September 1, 2026.

Cost:

The annual cost to the participating employers of the New York State Teachers' Retirement System would be negligible if this bill was enacted.

Data:

This bill is expected to impact approximately 5 members. Member data as of June 30, 2025, prepared for the most recent actuarial valuation was used in determining this cost. The most recent data distributions and statistics can be found in the System's Annual Report for the fiscal year ended June 30, 2025. System assets are as reported in the System's financial statements which can be found in the System's Annual Report. This data will also be provided in the System's Actuarial Valuation Report as of June 30, 2025.

Methods and Assumptions:

A summary of actuarial assumptions and methods will be provided in the System's Actuarial Valuation Report as of June 30, 2025. Further details can be found in the most recent Recommended Actuarial Assumptions 2025 Report.

Actuarial Certification:

We, the undersigned actuaries for the New York State Teachers' Retirement System, certify the following:

1. The actuarial assumptions, methods, and data used are reasonable for the purposes of this fiscal note, internally consistent and are in accordance with standards of practice prescribed by the Actuarial Standards Board and generally accepted actuarial principles and procedures.

2. We relied on member data supplied by the participating employers of the New York State Teachers' Retirement System and assets as supplied in the annual Financial Statements by NYSTRS' Finance Department.

3. Results were prepared based on our current understanding of the proposal as of the date of this fiscal note. If the language or our understanding of the proposal changes, the results could change and require the issuance of a new fiscal note. The next annual update of the actuarial valuation could also produce different results. Results should not be relied upon for any other purpose.

4. This fiscal note was prepared in accordance with New York State Retirement and Social Security Law, New York State Education Law, applicable Internal Revenue Code, and accepted actuarial standards of practice as of the date of this fiscal note. This fiscal note does not constitute a legal opinion on the viability of this legislative proposal.

5. We are members of the American Academy of Actuaries and the Society of Actuaries, and we meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion contained herein. We are currently compliant with the Continuing Professional Development Requirement of the Society of Actuaries.

Fiscal Note Identification:

This Fiscal Note, 2026-20, dated February 2, 2026, was prepared by the Office of the Actuary of the New York State Teachers' Retirement System and is intended for use only during the 2026 Legislative Session.

FISCAL NOTE.--Pursuant to Legislative Law, Section 50:

SUMMARY: This proposed legislation, as it relates to the New York City Retirement Systems and Pension Funds (NYCRS) would increase the Cost-of-Living Adjustment (COLA) effective September 1, 2026 for NYCRS members and their spouses who retired during the period 1961 through 1972.

EXPECTED INCREASE (DECREASE) IN EMPLOYER CONTRIBUTIONS by Fiscal Year for the first 25 years (\$ in Millions)

Year	NYCERS	TRS	BERS	POLICE	FIRE	TOTAL
2027	0.4	0.0	0.0	0.8	0.8	2.0
2028	0.0	0.0	0.0	0.0	0.0	0.0
2029	0.0	0.0	0.0	0.0	0.0	0.0
2030	0.0	0.0	0.0	0.0	0.0	0.0
2031	0.0	0.0	0.0	0.0	0.0	0.0
2032	0.0	0.0	0.0	0.0	0.0	0.0
2033	0.0	0.0	0.0	0.0	0.0	0.0
2034	0.0	0.0	0.0	0.0	0.0	0.0
2035	0.0	0.0	0.0	0.0	0.0	0.0
2036	0.0	0.0	0.0	0.0	0.0	0.0
2037	0.0	0.0	0.0	0.0	0.0	0.0

2038	0.0	0.0	0.0	0.0	0.0	0.0
2039	0.0	0.0	0.0	0.0	0.0	0.0
2040	0.0	0.0	0.0	0.0	0.0	0.0
2041	0.0	0.0	0.0	0.0	0.0	0.0
2042	0.0	0.0	0.0	0.0	0.0	0.0
2043	0.0	0.0	0.0	0.0	0.0	0.0
2044	0.0	0.0	0.0	0.0	0.0	0.0
2045	0.0	0.0	0.0	0.0	0.0	0.0
2046	0.0	0.0	0.0	0.0	0.0	0.0
2047	0.0	0.0	0.0	0.0	0.0	0.0
2048	0.0	0.0	0.0	0.0	0.0	0.0
2049	0.0	0.0	0.0	0.0	0.0	0.0
2050	0.0	0.0	0.0	0.0	0.0	0.0
2051	0.0	0.0	0.0	0.0	0.0	0.0

The increase in employer contributions of \$2.0 million is estimated to be \$1.8 million for New York City and \$0.2 million for the other obligors of NYCERS.

PRESENT VALUE OF BENEFITS: The Present Value of Benefits is the discounted expected value of benefits paid to current members if all assumptions are met.

EXPECTED INCREASE (DECREASE) IN ACTUARIAL PRESENT VALUES
as of June 30, 2025 (\$ in Millions)

Present Value (PV)	NYCERS	TRS	BERS	POLICE	FIRE
(1) PV of Employer Contributions:	0.4	0.0	0.0	0.7	0.7
(2) PV of Employee Contributions:	0.0	0.0	0.0	0.0	0.0
Total PV of Benefits (1) + (2):	0.4	0.0	0.0	0.7	0.7

UNFUNDED ACCRUED LIABILITY (UAL): Actuarial Accrued Liabilities are the portion of the Present Value of Benefits allocated to past service. UAL attributable to inactive members was recognized in the first year.

AMORTIZATION OF UNFUNDED ACCRUED LIABILITY

	NYCERS	TRS	BERS	POLICE	FIRE
Increase (Decrease) in UAL:	0.4 M	0.0 M	0.0 M	0.7 M	0.7 M
Number of Payments:	1	N/A	N/A	1	1
Amortization Payment:	0.4 M	0.0 M	0.0 M	0.8 M	0.8 M

CENSUS DATA: The estimates presented herein are based on preliminary census data collected as of June 30, 2025. The census data for the impacted population is summarized below.

	NYCERS	TRS	BERS	POLICE	FIRE
Receiving Members					
- Number Count:	95	0	0	85	61
- Average Age:	93.3	N/A	N/A	89.1	88.9

BACKGROUND: Beginning September 1, 2000, members who retired before January 1, 1997 and met certain eligibility requirements to receive a COLA, received an adjusted monthly benefit based on a percentage of the change in the consumer price index from their retirement year through 1997.

For purposes of this Fiscal Note, it is assumed that the revised percentages shown in the table below will replace the current percent-

ages for these retirees or surviving eligible beneficiaries, effective September 1, 2026:

Year of Retirement	Current Percentage	Revised Percentage
1973 through 1996	50%	50%
1971 through 1972	50%	55%
1970	50%	60%
1969	50%	65%
1968	50%	70%
1967	55%	80%
1966	55%	90%

Year of Retirement	Current Percentage	Revised Percentage
1965	60%	100%
1964	65%	100%
1963	70%	100%
1962	80%	100%
1961	90%	100%
Prior to 1961	100%	100%

ASSUMPTIONS AND METHODS: The estimates presented herein have been calculated based on the Revised 2021 Actuarial Assumptions and Methods of the impacted retirement systems.

RISK AND UNCERTAINTY: The costs presented in this Fiscal Note depend highly on the actuarial assumptions, methods, and models used, demographics of the impacted population, and other factors such as investment, contribution, and other risks. If actual experience deviates from actuarial assumptions, the actual costs could differ from those presented herein. Quantifying these risks is beyond the scope of this Fiscal Note.

This Fiscal Note is intended to measure pension-related impacts and does not include other potential costs (e.g., administrative and Other Postemployment Benefits). This Fiscal Note does not reflect any chapter laws that may have been enacted during the current legislative session.

STATEMENT OF ACTUARIAL OPINION: Marek Tyszkiewicz and Gregory Zelikovsky are members of the Society of Actuaries and the American Academy of Actuaries. We are members of NYCERS, but do not believe it impairs our objectivity, and we meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion contained herein. To the best of our knowledge, the results contained herein have been prepared in accordance with generally accepted actuarial principles and procedures and with the Actuarial Standards of Practice issued by the Actuarial Standards Board.

FISCAL NOTE IDENTIFICATION: This Fiscal Note 2026-63 dated April 16, 2026 was prepared by the Chief Actuary for the New York City Retirement Systems and Pension Funds and is intended for use only during the 2026 Legislative Session.